Session 3 of 6

3 hours · rounds 4 and 5

Go-to-market and unit economics.

Set the price against willingness to pay, choose the channel, read CAC, LTV, churn and payback, and recognize the chasm.

Session 3
Agenda

Today’s three hours.

01

Debriefing

20-30 minutes

Rounds 2 and 3: leaderboard and news on the projector view.

02

Lesson

45 minutes

Price and value, unit economics, adoption and the chasm, channels.

03

Rounds 4 and 5

2 × 35-40 minutes

The end of the first year and the first half of the second.

04

Payback and wrap-up

15 + 15 minutes

Payback worked out by hand, round report, memo.

Lesson

Ramanujam and Tacke, Monetizing Innovation (2016)

Decide the price before the product.

Three principles

- Talk about willingness to pay with customers early, before you build.
- Start from the value to the customer, not from your costs.
- Not every customer values the product the same way: segment.

72%

of innovations, according to the authors, miss their financial targets or fail outright.

Ramanujam and Tacke, Simon-Kucher

- **In the game.** Willingness to pay grows with product quality, PMF and brand; the Decisions page and the Market view show the estimate.

Lesson
Setting the price

Three ways to set a price.

Cost-based

Cost plus a markup. Simple, but it ignores what the product is worth to the buyer.

Competitor-based

In line with everyone else. Useful as a reference, but it pushes toward price wars.

Value-based

Starts from the customer’s willingness to pay. The hardest to estimate, and the most profitable.

- **In the game.** Above willingness to pay, customers leave faster and faster; a price war by competitors lowers it for two rounds.

Lesson
Pricing models

How to get paid.

Subscription

A fixed fee every month or year: recurring, predictable revenue.

Netflix, Salesforce

Freemium

A free tier that brings in users; few of them upgrade to paid. A good rate is 3-5%.

Dropbox, Spotify

Usage-based

Customers pay for what they use: revenue grows along with the customer.

Amazon Web Services, Twilio

- **In the game.** Freemium lowers CAC and multiplies word of mouth, but cuts willingness to pay and margin; usage-based pricing makes customers less price-sensitive.

Lesson
Unit economics

Three numbers that tell you if a customer pays off.

CAC	acquisition spend ÷ new customers What it costs to win a customer: marketing and sales, salespeople included.
LTV	price × gross margin × lifetime The margin a customer leaves over their whole lifetime; average lifetime is 1 ÷ churn.
Payback	CAC ÷ (price × gross margin) The months it takes to earn back what you spent to acquire them.

David Skok’s rules of thumb: LTV at least 3 times CAC, and CAC recovered in under 12 months.

Lesson

An example with made-up numbers

Software at €50 a month, number by number.

Price	Gross margin	Monthly churn	CAC
€50	80%	4%	€300

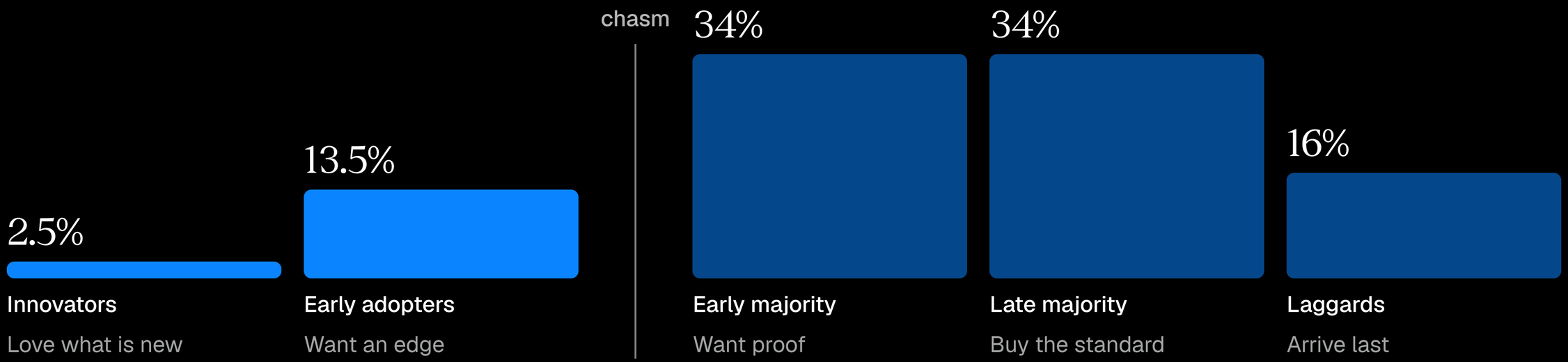
Average lifetime	LTV	LTV ÷ CAC	Payback
25 months	€1,000	3.3	7.5 months
1 ÷ 4%	50 × 80% × 25	above the threshold of 3	300 ÷ (50 × 80%)

- **In the game.** LTV, CAC and payback are in the Market view; the mentor warns you when LTV/CAC drops below 3 or payback goes past 18 months.

Lesson

Everett Rogers, Diffusion of Innovations (1962)

A market does not adopt all at once.



- **In the game.** The market moves through the same segments round after round, and each one changes CAC, churn and willingness to pay.

Lesson

Geoffrey Moore, Crossing the Chasm (1991)

Between visionaries and pragmatists lies a chasm.

Early adopters: visionaries

They buy a vision and accept an unfinished product in order to get there first.

Majority: pragmatists

They buy a complete, proven solution, and ask for references from people like them.

The beachhead: Normandy first, then Paris.

Pick a narrow segment, win it completely, and use it as a reference to expand.

- **In the game.** In the majority, with PMF below 55, CAC rises by 50%; choosing the niche as a beachhead limits the increase to 20%.

Lesson

A beachhead case

Facebook: one campus at a time.

February 2004

Harvard

For one university's students only. Within a month, about half the undergraduates sign up.

March 2004

More campuses

Stanford, Columbia, Yale, then other American universities.

September 2005

High schools

A version for high schools, then workplace networks.

September 2006

Everyone

Open to anyone aged 13 or older with an email address.

- **In the game.** The niche is worth 30% of the sector: you learn faster and spend less, but once the niche is won growth stalls and it is time to expand.

Lesson

Gabriel Weinberg and Justin Mares, Traction

Nineteen channels. You need one that works.

01	02	03	04
Brainstorm	**Rank**	**Test**	**Focus**
One idea for each of the 19 channels, even the unlikely ones.	Possible, probable, then the three most promising.	Small, cheap experiments: what a customer costs, how many arrive.	Put everything into the channel that works, until it stops working.

- **In the game.** Four channels: performance marketing, brand and content, partnerships, sales-led. Every sector has its own most cost-effective channel.

Lesson
Summary

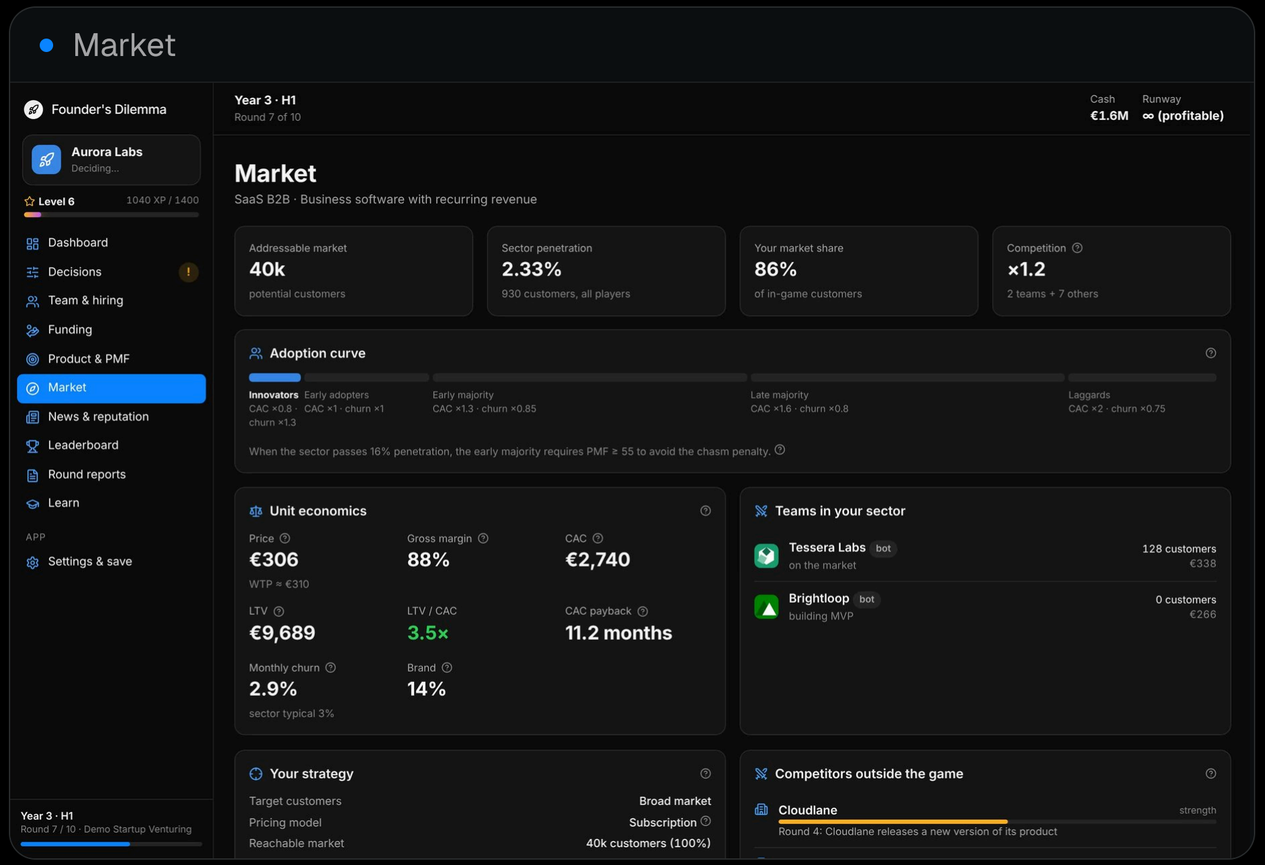
Five questions before you spend on marketing.

01	What is the product worth to the customer, and how do we know?
02	Which pricing model tracks the value the customer receives?
03	Does each customer bring in at least three times what it costs to acquire them?
04	Who are our early adopters, and who comes after them?
05	Which channel have we tested, and which one really works?

In the game
Rounds 4 and 5

Today’s decisions.

- **Price and model:** subscription, freemium or usage-based.
- **Channel:** performance marketing, brand and content, partnerships, sales-led.
- **Marketing:** diminishing returns; spend beyond the team’s capacity is only 30% effective.
- **Outside competitors:** price wars, campaigns and new releases in the news.



Activity

15 minutes, in teams

Work out the payback by hand.

CAC ÷ (price × gross margin)

01	02	03
Take CAC, price and gross margin from the Market page.	Work out how many months it takes for a customer to pay back.	Compare your result with the payback shown on the same page.

Five questions for rounds 4 and 5.

01	Do you have product-market fit? Which numbers prove it: retention, the Sean Ellis share, LTV/CAC?
02	Is it time to scale marketing, or would more spend just fill a leaky bucket?
03	Teams in the same sector share the same market: knowing that, how does your strategy change?
04	Did an outside competitor make a move in your sector? How did you respond?
05	Coopetition: is a partnership worth more with a team in your sector, or with one that has similar customers in another?

Assignment

Decision memo for rounds 4 and 5

Before the next session.

Decision memo

Rounds 4 and 5.

In the Situation section, include LTV/CAC and payback, and say whether you have product-market fit and why.

Next session

People and organization.

First hires, equity as compensation, the option pool, morale and founder burnout.